

Average Collection Period

Most companies sell to their customers on credit. To finance these sales, they need to either block their own internal funds or resort to bank finance. The cost of finance is therefore usually built into the sale price and companies offer a cash discount to customers who pay in cash either at the time of sale or soon thereafter.

The average collection ratio is calculated by dividing average trade debtors by the average daily sales:

$$\text{Average collection period} = \frac{\text{Average trade debtors}}{\text{Average sales per day}}$$

Illustration

In its latest year, the sales of PDN Ltd. grew by 15%, from Rs. 348 crore to Rs. 400 crore. Its average trade debtors during the previous and current years were Rs. 49 crore and Rs. 59 crore, respectively.

The average collection period was therefore:

Previous Year	$\frac{49}{348 \times 365}$	= 51 days
Current Year	$\frac{59}{400 \times 365}$	= 54 days

The period of credit increased from the previous year. If PDN Ltd's normal credit terms are only 30 days and customers are taking 51 to 54 days to pay, the company is finding difficulty in getting its customers to pay on time, or it may be extending longer periods of credit, or the management may not be controlling credit effectively.

An increasing average collection period ratio is an early warning indicator of large bad debts and financial sickness and by controlling thus one can improve efficiency and reduce borrowings, thereby saving on interest.

A falling ratio is not however always wonderful. Just before companies fold up, they begin collecting on their debts and also sell their goods for cash. The result is a falling average collection period ratio.